

Caffevolve Royalty Model — Base Case

Investor summary · one-pager

Confidential — Internal Planning · NDA-gated · directional model, not a forecast · prepared September 2026

COMMERCIAL UNITS · 5-YR 15,756 anchored · office 9,484 · café 6,272	TOTAL ROYALTY · 5-YR \$1.74M at Base band 7%	CONSUMER UNITS · 5-YR 28.5K seeded · café 13,919 · office 14,545	COMMERCIAL SHARE 79% of total royalty
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Ramp scenarios (Low / Base / High)

OEM-anchored: Low / Base / High = 1 / 2 / 4 OEMs signed by Year 5, total ramp split office/café by the OFRAC share ramp. 5-yr commercial units and total royalty at Base band 7%, seeded-only (Direct off).

Scenario	Commercial units	Total royalty · 5-yr	Consumer royalty
Low · 1 OEM	6,623	\$735,120	\$155,608
Base · 2 OEMs	15,756	\$1,737,297	\$358,647
High · 4 OEMs	37,408	\$4,159,990	\$886,790

Base case — royalty by year & source

Seeded-only (Direct channel off). Commercial royalty on the \$2,499 unit (\$1,250 net wholesale) leads; seeded consumer lags placements by one year.

Royalty (\$)	Y1	Y2	Y3	Y4	Y5	Total
■ Café-seeded	\$0	\$147	\$3,735	\$31,695	\$139,803	\$175,381
■ Office-seeded	\$0	\$106	\$6,456	\$41,681	\$135,023	\$183,267
■ Commercial	\$525	\$21,875	\$131,250	\$393,750	\$831,250	\$1,378,650
Total	\$525	\$22,128	\$141,441	\$467,127	\$1,106,077	\$1,737,297

Optional upside — Direct / home channel (off in base case): no home unit exists until a licensee ships, so it contributes zero before Year 2; least-anchored, gated on a DTC test. Excluded from the headline above.

Model inputs

- **Café engine (v3, assumed — pilot-measured):** $N = 52 \text{ setups/café/yr} \cdot c_cafe = 15\% \cdot r1 = 0.5$. Per placement: 3.9 units yr 1, 7.8/yr sustained.
- **Office engine (v2, assumed — stock-and-flow):** $S = 32 \cdot c_stock = 17.5\% \cdot W = 2 \text{ yrs} \cdot \text{turnover } 13\% \cdot c_flow = 10\%$. Per placement: 2.8, 2.8, then 0.42/yr.
- **Direct / home (optional — OFF in base case):** least-anchored input, excluded from the headline. Zero until the first licensee ship (Year 2 earliest), then 750 units growing 15%/yr, net of a 15% overlap haircut. Upside only, gated on a DTC test.
- **Commercial ramp (anchored — OEM-signed):** Base = 2 OEMs by Yr 5, total 6, 250, 1500, 4500, 9500 units/yr, split office/café by OFRAC (office 3, 180, 1001, 2799, 5501; café 3, 70, 499, 1701, 3999). Low/High = 1 / 4 OEMs. Editable — replace with your live signings.
- **Locked economics:** net wholesale $\approx 50\%$ MSRP (\$1,250 / \$300 / \$100) · 5 / 7 / 8 royalty band at base 7% · Intro/Premier mix 60 / 40.

Ceiling check (top-down guardrail)

Year-5 total units — **9,500** commercial + **21,812** seeded consumer = **31,312** — against a premium appliance shelf of **3,000,000** units/yr = **1.0%** of shelf — a credible low-single-digit slice. Shelf figure is a placeholder; state your cited source.

Assumed vs anchored

ANCHORED · RESEARCH RAMP ● Commercial units placed, Yr 1–5, arena-split office/café, Low/Base/High by OEM signings — the \$2,499 unit carries most of the royalty.	ASSUMED · PILOT-MEASURED ● Five office levers & three café levers. ● Intro / Premier consumer mix (60 / 40). ● Direct: optional, off by default — not in the base case; upside only, after first ship.	LOCKED ● MSRP tiers · net-wholesale basis. ● 5 / 7 / 8 royalty band at base 7%.
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Mix, not rate, is the largest driver of consumer royalty. Attach is folded into placements ($\approx 100\%$ within the licensed lane), so "units placed" is the attached-unit count.
Directional model, not a forecast. Consumer volume is seeding-dominated and conditional; the forecast is most sensitive to N (café throughput), the least-anchored input, which the café pilot anchors — one of the 1–2 measured pilots should be a café placement.